



Calculating and analyzing net worth

A person's wealth—or net worth—can be calculated by adding up all of the assets they own and subtracting from this total the amount of any debt that they owe.

Net worth statement

Individuals can calculate their net worth at any given time by subtracting debts from assets. They can then compare statements over months or years to track any changes.



$$\text{ASSETS} - \text{DEBT} = \text{NET WORTH}$$

Assets



Liquid assets

Easily accessible sources of cash

- › Cash in hand
- › Cash held in current account
- › Cash value of life insurance
- › Money market funds
- › Certificates of deposit
- › Short-term investments



Investment assets

Convertible to cash in the short or long term

- › Term deposits held at the bank
- › Securities, stocks, shares, or bonds
- › Investment real estate
- › Endowment policies
- › Retirement funds



Debts



Short-term liabilities

Payable within the next 12 months

- › Credit card interest and capital repayments
- › Repayments on a personal or student loan
- › Current monthly household bills (e.g., for utilities, communications, and insurance)
- › Unpaid personal income tax for the year



Long-term liabilities

Payable over more than 12 months

- › Mortgage or rental payments
- › Child support or alimony if separated or divorced
- › Children's education through to college
- › Payments to a pension fund
- › A hire-purchase contract or lease for a car

